

Wings of Change

Air India's king-sized aircraft order will give it ammunition in its bid to capture 30 per cent market share in the Indian skies

BY MANISH PANT

► **AIR INDIA, NOW** a part of the Tata group, may abandon the Maharaja mascot as the airline's management perceives the caricature of the mustachioed emperor in red livery as "outdated". However, that may not prevent the 90-year-old carrier from soon announcing a king-size order for 500 wide- and narrow-body planes.

As the initial disbelief at the news—reported by *Reuters* citing unnamed industry sources—made way for acceptance, speculation mounted about the structure of the proposed deal that may be worth more than \$100 billion. It is expected that the order, not yet confirmed by the Tatas, may comprise a mix of 400 single-aisle narrow-body and 100 wide-body jets from both Boeing and Airbus.

30 | "The need to be aligned with the current new-age fleets of competition was highly pronounced for Air India, and this is a result of that," says Jagannarayan Padmanabhan, Director & Practice Leader for Transport & Logistics at CRISIL Infrastructure Advisory. Considering the market share Air India plans to capture, the need to augment its fleet to become cost competitive and provide good customer experience became essential, he says.

Globally, carriers follow two broad strategies while ordering aircraft. Some like Singapore Airlines and Emirates are early movers for a new aircraft type, with the advantage of locking in new airplane technology pro-

duction capacity from competition for three or more years. Others like Cathay Pacific and Delta wait for the aircraft to mature a bit before placing orders. As per sources, Air India may pursue the early-mover strategy for its order.

"Ordering on a large scale means one can lock in production, negotiate great discounts on parts and components as well as also negotiate local investments such as OEMs for after-sales service. But if the order is this large, manufacturers are more willing to set up local facilities as joint ventures," says an industry source, requesting anonymity.

Under its Vihaan.AI programme, Air India is looking at capturing a 30 per cent market share in the next five years. Having recently announced the integration of Tata group carriers Vistara and AirAsia India, the airline will have a consolidated fleet strength of 219 aircraft—second only to the country's largest carrier IndiGo (277 aircraft).

"The fleet acquisition will help the airline both in the long-haul international flights and improve connectivity on select regional routes domestically," says Padmanabhan.

The battle for the skies has just begun. **BT**

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